

Growth to stay weak this year despite US-Iran deal

- **Key changes:** We've lowered our 2026 inflation projection for France in light of the recent US-Iran deal to reopen the Strait of Hormuz and of the limited energy shock spillovers to other inflation components so far, as suggested by the May data. We now expect inflation to average 1.9% in 2026, down 0.6ppts from our previous forecast. The hit to GDP will likely linger; we now expect GDP growth to average only 0.4% this year, representing a 0.2ppts cut to our previous forecast of 0.6%. Private consumption is set to take a more severe hit than we initially expected. Moreover, the Q1 GDP figures were revised down.
- **Short-term forecast:** We expect the current spell of economic weakness to last longer. Although we aren't forecasting a recession in Q2, growth is likely to remain subdued for most of the year, as the impact of the conflict continues to bite even after the Strait is reopened. Beyond that, France continues to grapple with elevated political uncertainty, which is weighing on domestic demand and delaying progress on improving public finances. Weak demand and subdued wage growth mean inflation has been lower in France than elsewhere in the Eurozone, although it will remain above the ECB's 2% target in the near term due to higher oil prices.
- **What to watch out for:** The pace at which transit through the Strait of Hormuz normalises, and the resulting path for oil prices, will be the key variables shaping the near-term outlook in the wake of the US-Iran deal, alongside the durability of the deal itself. Political volatility will also remain a major source of risk, with the 2027 budget negotiations and the upcoming presidential election both liable to widen sovereign spreads and further depress confidence, especially given the fraught public finance backdrop. Finally, the ongoing deterioration in the labour market could further threaten the already weak growth outlook if it accelerates.

Table 1: France forecast overview

(ANNUAL PERCENTAGE CHANGES UNLESS SPECIFIED)						
	2023	2024	2025	2026	2027	2028
GDP	1.9	1.4	0.9	0.4	0.8	1.3
Private consumption	1.0	0.8	0.5	0.1	1.1	1.8
Industrial production	0.5	0.3	0.7	1.1	0.9	0.7
Employment	1.0	0.7	0.2	0.0	0.1	0.4
Unemployment (%)	7.1	7.2	7.5	8.0	8.1	7.8
Government balance (% of GDP)	-5.4	-5.8	-5.1	-5.1	-5.0	-4.8
Gross government debt (% of GDP)	109.4	112.6	115.5	118.0	119.0	119.8
Current a/c balance (% of GDP)	-1.1	0.1	-0.3	0.0	0.4	0.4
Consumer prices	4.9	2.0	0.9	1.9	1.8	1.8
Bank's deposit rate (% EOP)	4.0	3.0	2.0	2.3	2.0	2.0
10yr govt. bond yield (% EOP)	2.5	3.2	3.6	3.7	3.8	3.8
Exchange rate (US\$ per euro, EOP)	1.11	1.04	1.18	1.17	1.18	1.18
Exchange rate (euro per £, EOP)	1.15	1.21	1.15	1.12	1.10	1.10

Source: Oxford Economics

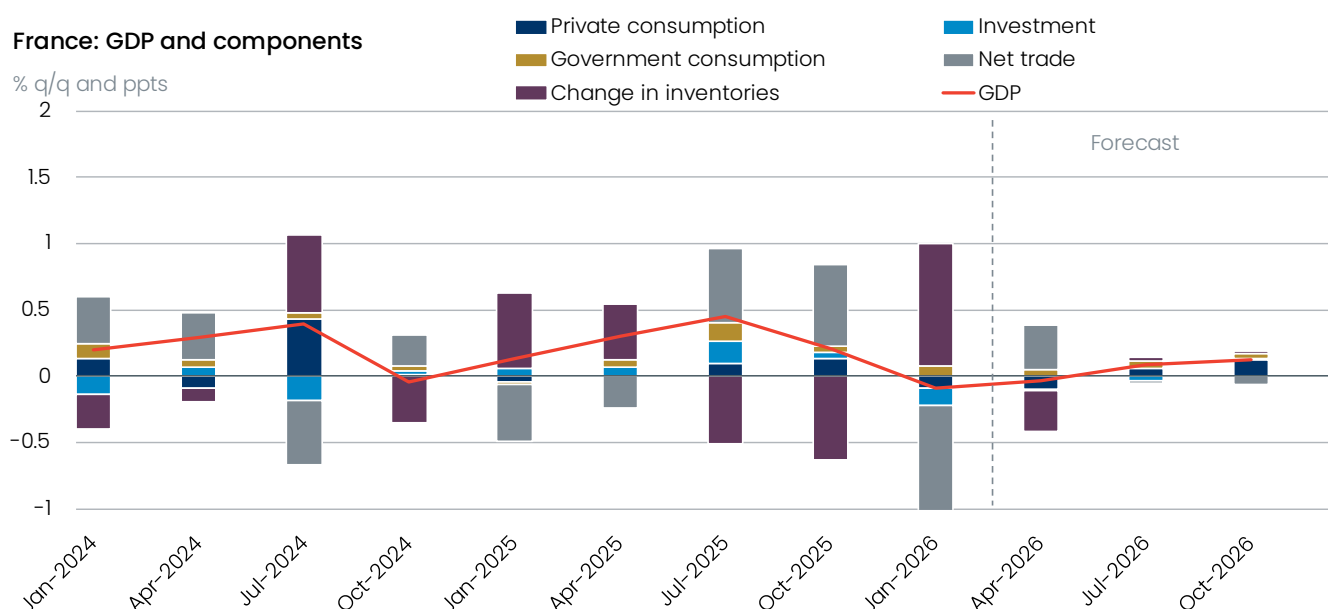
Baseline forecast

Recent developments

France's GDP figures were revised down in Q1, with growth now slightly negative at -0.1%, compared with the stagnation suggested by the first estimate. This was mostly due to private consumption declining more than initially expected. Part of the weakness in Q1 was temporary, including lower energy spending due to milder-than-usual temperatures, a temporary contraction in exports, and a marked decline in construction. These factors should provide some technical support to Q2 GDP growth, although a recession can't be fully ruled out, given the very poor level of recent business surveys.

Meanwhile, inflation accelerated modestly to 2.4% y/y in May, from 2.2% in April. The increase was mostly due to the 15% rise in the benchmark gas price that took effect in May, while pump prices were slightly lower than in April. The transmission of the energy inflation shock to other components appears moderate at this stage, however, as inflation for food and manufactured products was unchanged from April.

Chart 1: Quarterly GDP growth is set to hover near zero this year



Sources: Oxford Economics, Haver Analytics

Short-term forecast

We've revised down our GDP growth forecast for France by 0.2ppts to 0.4% for 2026, while our 2027 growth forecast is unchanged at 0.8%. The downward revision for 2026 mostly reflects a weaker consumption outlook, as well as the downward revision to Q1 GDP figures, while we continue to anticipate a broad stagnation in Q2. Conversely, we've lowered our inflation forecast from 2.5% to 1.9% in 2026, as the transmission of the energy shock to core components appears to be gradual and contained, especially now that a deal to reopen the Strait of Hormuz appears to have been reached between the US and Iran.

Policy assumptions

Fiscal policy. At 5.1% of GDP, the government deficit came in lower than initially expected in 2025, as tax revenue proved stronger than anticipated, although efforts to rein in structural spending were minimal. However, the combination of political deadlock and the impact of the Iran war on activity means that the deficit is unlikely to

fall this year, with risks instead tilted towards further deterioration. Beyond that, we think the best chance of breaking the deadlock and reducing the deficit will come after the 2027 presidential election, when the new president may benefit from a stronger mandate and renewed political momentum, although this remains highly uncertain.

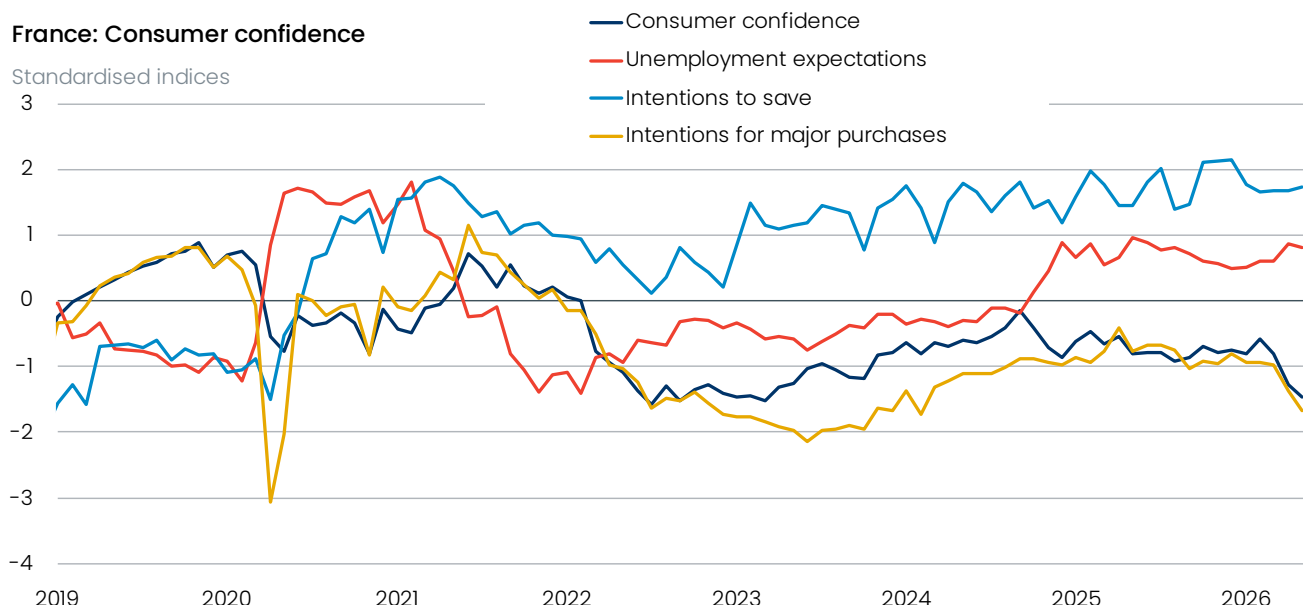
Monetary policy. Following the 25bps rate hike implemented in June, which we view as a recalibration effort, we expect no further policy moves from the European Central Bank this year. The June hike reflects a new era of frequent global supply shocks that require a more robust policy response, as well as the ECB's arguably hawkish bias since the inflation surge of 2022. However, given the recent US-Iran deal aimed at reopening the Strait of Hormuz and the subsequent fall in oil prices, we no longer expect additional rate hikes this year. We expect the ECB to cut rates again relatively quickly in 2027, bringing the deposit rate back to 2% as energy prices normalise.

Key drivers of short-term forecast

Inflation will rebound temporarily because of the US-Israel war with Iran, but should stay contained. Higher fuel prices mean inflation will stay above the 2% target in the coming months, despite the US-Iran deal to reopen the Strait. We expect to see moderate pass-through from higher energy prices to core and food prices later in the year, which will also be pushed up by the euro's recent depreciation. Still, we expect inflationary pressures to stay contained overall as demand remains weak and wages show no signs of accelerating amid a rapidly weakening labour market.

The consumption recovery faces downside risks. The purchasing power of French households is resilient, as recent wage increases have outpaced inflation. Households have saved most of these gains, but we expect consumption to slowly rebound. The latest consumer surveys remain below their long-term average ([Chart 2](#)), reflecting ongoing political instability, higher inflation, and ongoing deterioration in the labour market. Political instability is another downside risk. But households have been spared major tax increases, limiting the impact on confidence. The recent oil shock will also weigh on real income, hindering the recovery.

Chart 2: Consumer confidence remains very weak



Sources: Oxford Economics, Haver Analytics

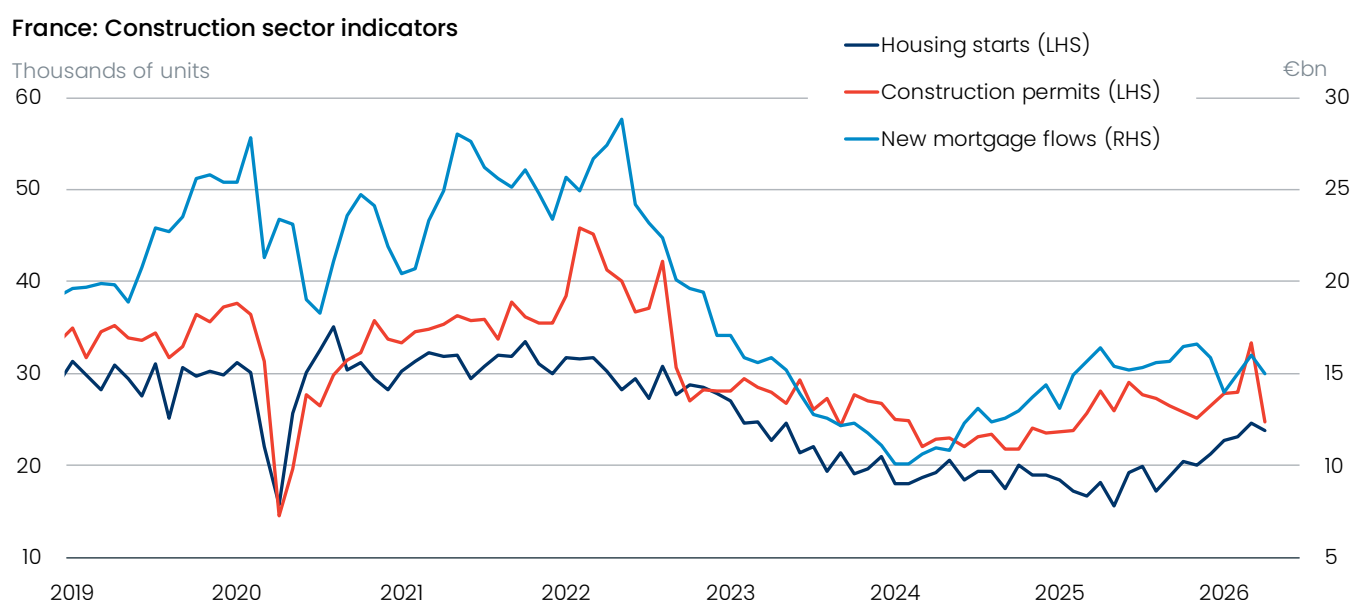
The downturn in the labour market should stay contained. Private-sector employment is weakening, having registered its sixth consecutive quarter of mild contraction in Q1. As a result, the unemployment rate is trending up from the historically low levels of 2023. Given poor economic prospects, we think the labour market will deteriorate

further before improving, but the unemployment rate should remain contained and is unlikely to breach the 8.5% threshold. However, a faster contraction in private employment remains a major downside risk, with potentially severe consequences for household income and consumer spending.

Fiscal policy will weigh on growth. The 2026 budget targets a deficit of 5% of GDP this year, down slightly from 5.1% of GDP in 2025. Persistent political deadlock means we expect very limited fiscal consolidation in the short term, especially since the US-Israel war with Iran will also generate a drag on public finances. Nevertheless, the fiscal impulse is set to remain negative in the short to medium terms as fiscal metrics are weak and pressure from markets will remain high, eventually forcing France to undertake a degree of deficit reduction.

The impact of monetary policy easing remains incremental. The transmission of previous monetary policy easing has been very gradual and largely offset by higher long-term rates. Credit demand is still subdued, as households and firms are limiting their leverage. Higher rates hit real estate and construction particularly hard, but those effects might finally be bottoming out as mortgages, construction permits, and housing starts have rebounded, albeit slowly and unevenly ([Chart 3](#)).

Chart 3: The construction sector is gradually bottoming out



Sources: Oxford Economics, Haver Analytics

What to watch out for

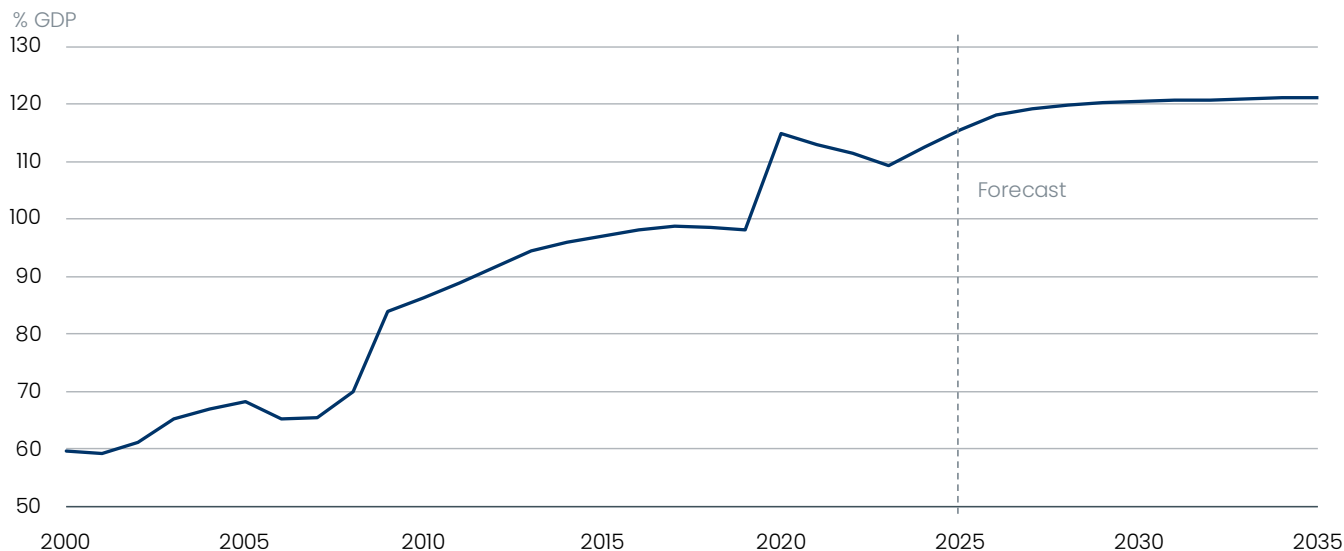
Structural reforms and the political agenda. President Emmanuel Macron's ambitious reform agenda – aimed at boosting competitiveness, strengthening the industrial sector, cutting taxes, and raising labour participation – looks set to fizzle out, as Macron's party lost a large number of seats in last summer's snap elections. The resulting hung parliament means that any meaningful reform is off the cards until the next presidential or legislative elections. This is because the three large voting blocs now in the National Assembly have little in common in terms of policy and no culture of political compromise.

Public finance sustainability. The French government has historically found it difficult to reduce government debt after an upward shock. Following the pandemic, France's government debt is now above 110% of GDP, a historically high level ([Chart 4](#)). The gridlocked National Assembly will make it much harder to implement the fiscal consolidation on the scale required to stabilise debt as a share of GDP because there's little cross-party consensus on how to improve the state of public finances. In the short to medium term, other factors such as

geopolitical strains and the green transition will put upward pressure on public spending. Meanwhile, the rise in bond yields will gradually translate into a higher effective interest rate on government debt.

Chart 4: Government debt will keep increasing from historically high levels

France: General government debt



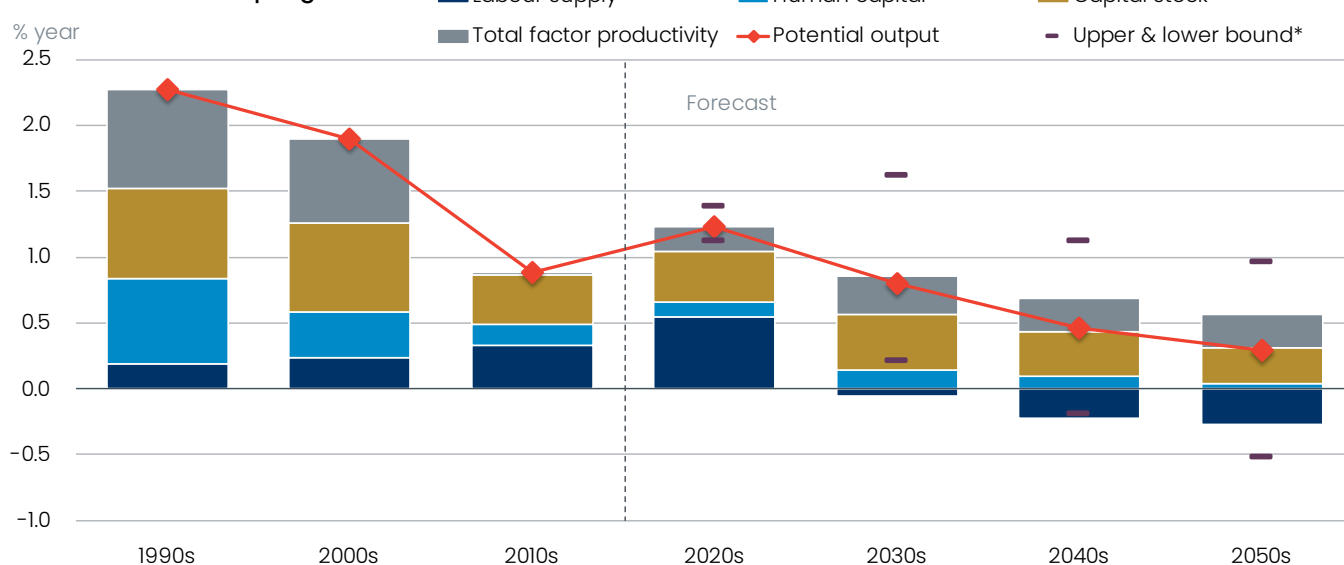
Sources: Oxford Economics, Haver Analytics

Long-term prospects

We project potential output growth will pick up to an average 1.1% per annum over 2022-2031, stronger than the 0.7% in the previous decade ([Chart 5](#)). This reflects enhanced total factor productivity and capital accumulation, improving from a two-decade period marked by the global financial crisis and its aftermath and the pandemic.

Chart 5: Support from demographics will fade

France: Potential output growth



* Based on our Meqatrends Scenarios

Sources: Oxford Economics, Haver Analytics

We expect productivity to improve, owing to previous reforms to the labour market and an improvement in the business environment. Despite the current uncertainty, we think private investment will eventually rebound in response to a resumption of demand, following a period of subdued growth related to high inflation and Russia's war in Ukraine. But this forecast may prove optimistic, with the main risks being uncertain policymaking in the wake of recent elections, the negative impact of the unfolding trade war, and economic scarring from the previous shocks.

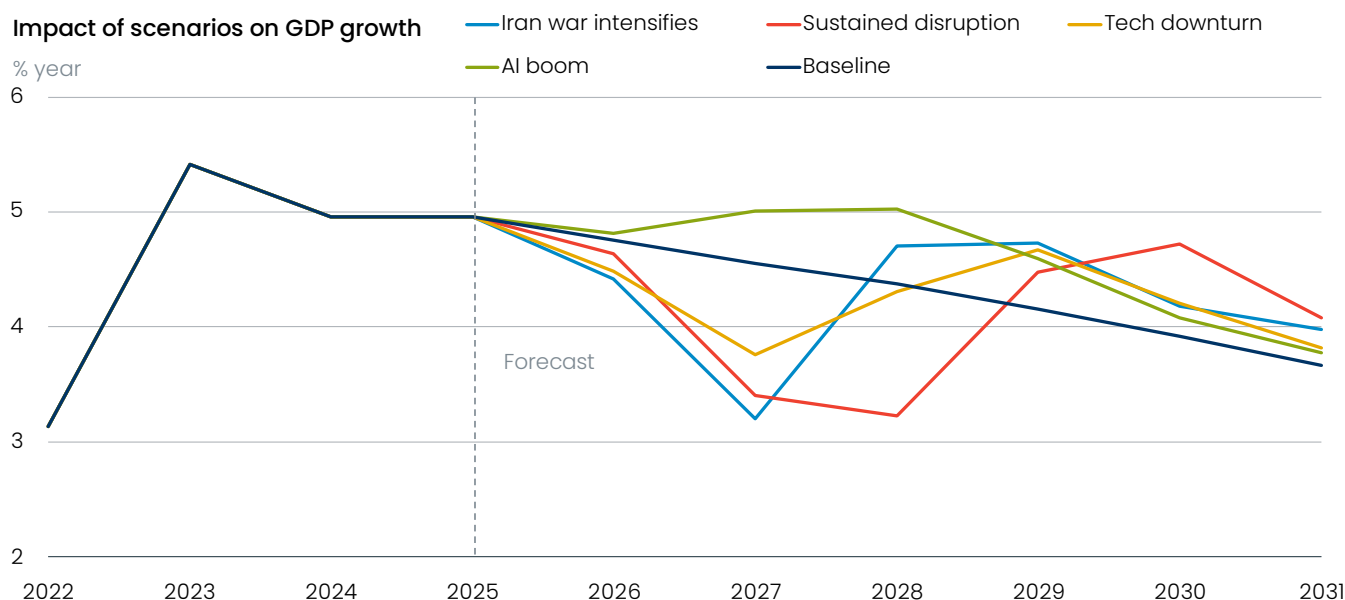
Although France's demographic trends are more favourable than elsewhere in the EU, they'll offer little support. We expect the working-age population to plateau over the next 10 years, as the fertility rate has declined more rapidly than we anticipated, falling below two children per woman since 2015. Moreover, we expect the contribution of human capital to be muted due to France's already high education level. But an increase in the participation rate, which has been trending up but remains low by European standards, will likely help the labour supply grow.

Scenarios

Exposure to key global risks

Sustained disruption. In this scenario, the Strait of Hormuz remains effectively closed until 2028. Energy prices remain elevated as a result. Oil prices rise to \$120 per barrel in the near term and edge higher to around \$130pb over the course of 2027 as inventories are drawn down. The US economy contracts throughout this year and financial markets weaken. World GDP growth slows to 2.2% in 2026, 0.2ppts below baseline, although global recession is avoided. In this scenario, France's GDP growth would be 0.8ppts below our baseline over the next three years ([Chart 6](#)).

Chart 6: The Iran conflict remains the main source of risks



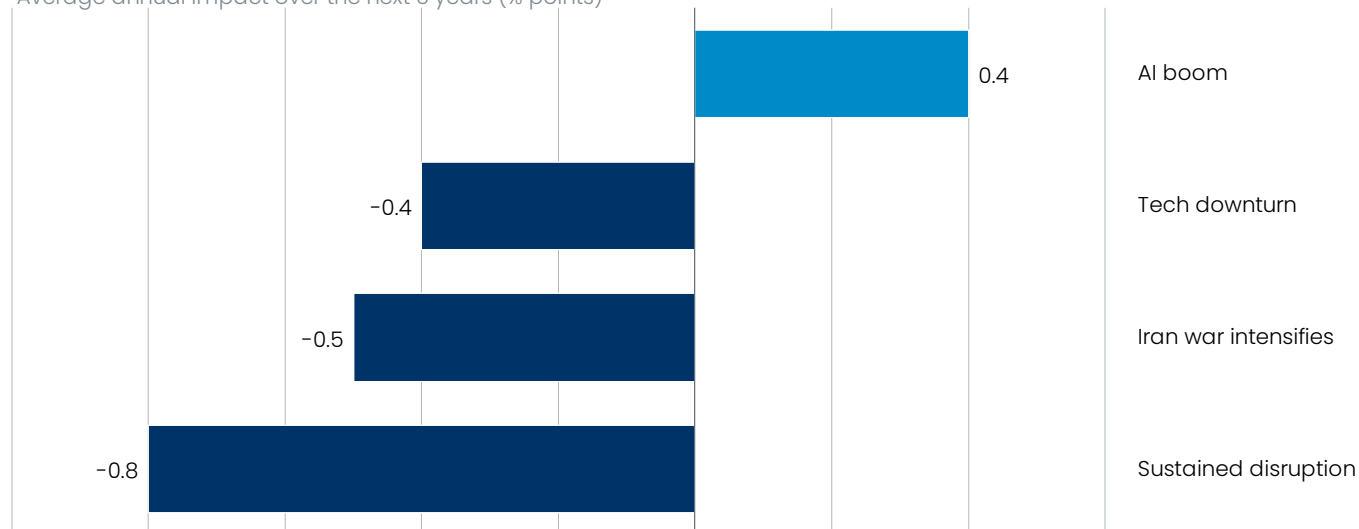
Source: Oxford Economics

AI boom. In this upside scenario, the global economy is bolstered by buoyant US tech investment and stock prices, at the same time as rapid AI adoption fuels gains in productivity. US tech capital spending continues to grow sharply, mirroring the upswing witnessed in the 1990s, while the world economy strengthens as robust US growth spills over globally. Global growth picks up to 3.1% in 2026, 0.3ppts above the baseline. France's annual GDP growth would be 0.4ppts above our baseline over the next three years ([Chart 7](#)).

Chart 7: Risks are skewed to the downside

Impact of scenarios on GDP growth

Average annual impact over the next 3 years (% points)



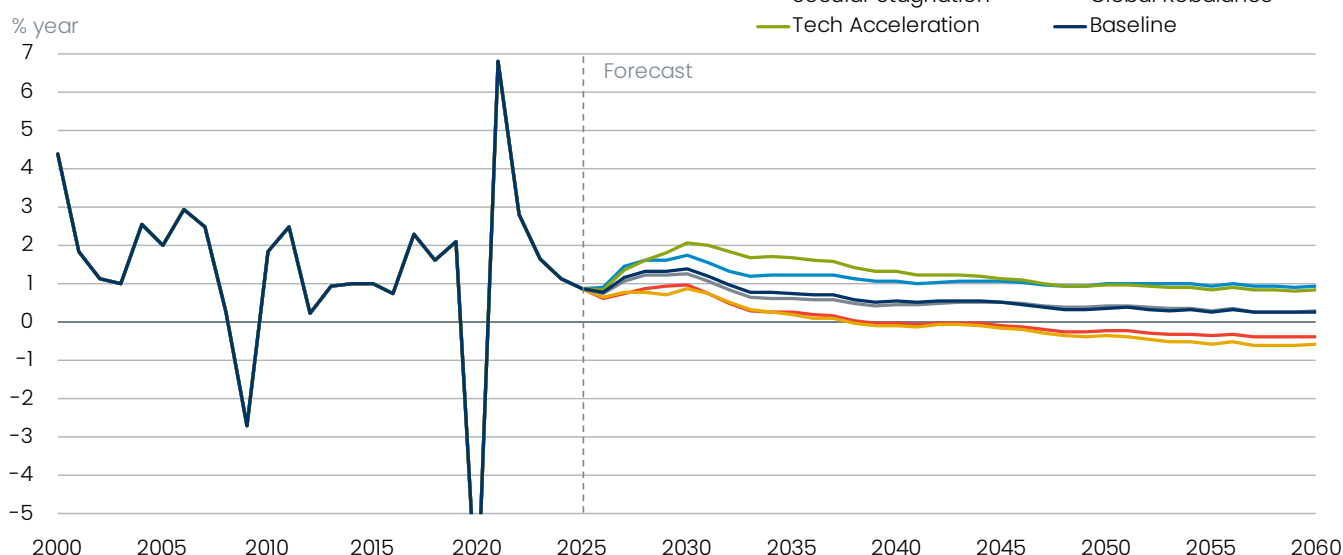
Source: Oxford Economics

Alternative long-run scenarios

Our Megatrends Scenarios explore alternative long-run scenarios to capture the uncertainty around technological advances, demographics, globalisation, and geopolitics. These include:

Chart 8: Globalisation and technological progress are the main scenario drivers

France: GDP growth



Sources: Oxford Economics, Haver Analytics

Technological acceleration. In this scenario, technological advancement, including AI and other technologies, spurs innovation and boosts productivity growth. New technologies such as artificial intelligence are successfully deployed due to robust R&D, effective regulation, and strong uptake. Investment rises in the short run as firms deploy capital to fund computing, automation, and data infrastructure. Structural unemployment remains

contained as policymakers support workers displaced by AI. France's annual GDP growth would be 0.7ppts higher than our baseline forecast in the long term (**Chart 8**).

Fractured world. Under this scenario, trade barriers from rising protectionism become more widespread than in our baseline, driving further deglobalisation and a breakdown in international cooperation. High uncertainty and volatility lead to underinvestment in technology and R&D. Weaker institutions and reduced knowledge spillovers compound impacts on potential output, while poor productivity limits real wage growth and labour participation. France's GDP would grow 0.5ppts below our baseline each year, coupled with lower real rates.

Economic risk

Economic risk evaluation

Table 2: Economic Risk Index

	JUN 2026 (SCORES FROM 1 TO 10 WITH 10 = HIGHEST RISK)	SCORE CHANGE FROM DECEMBER	RANK OUT OF 164 (1= BEST)
Overall	3.3	-0.2	21
Market demand	3.0	0.0	7
Market cost	2.0	0.0	4
Exchange rate	3.3	-1.0	46
Sovereign credit	4.0	-0.1	51
Trade credit	4.0	0.0	15

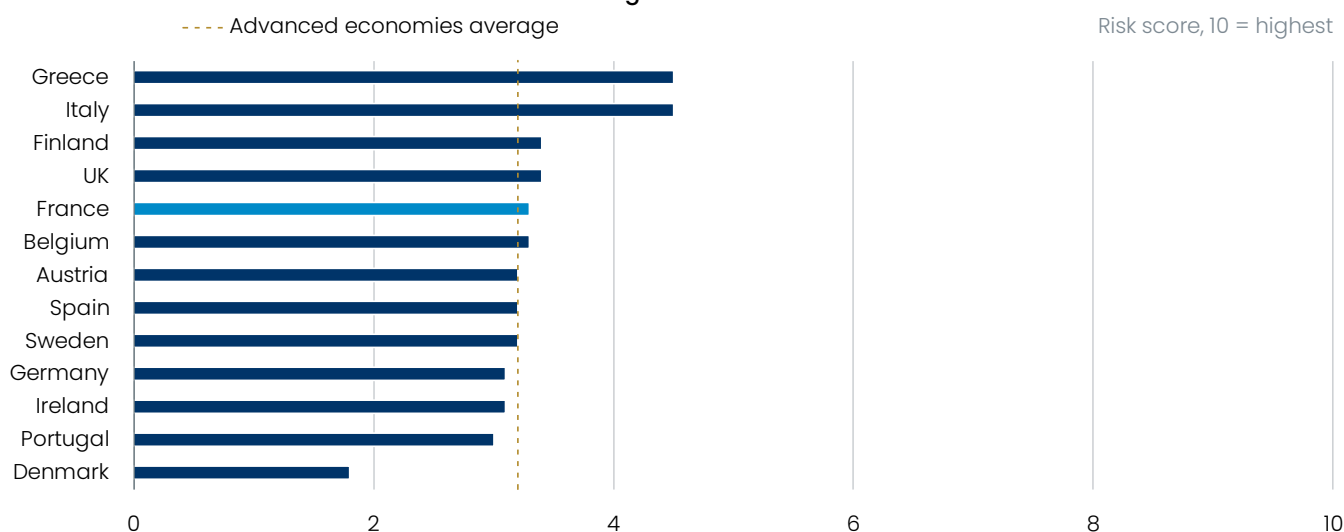
Source: Oxford Economics

Overall risk for France: 3.3/10*

France's overall economic risk score is low at 3.3, ranking it 21st out of 164 countries in our survey. This score is broadly in line with the average for advanced economies (**Chart 9**).

Chart 9: France's risk score is similar to the advanced economies average

Economic risk: France vs Advanced economies average



Source: Oxford Economics

Supportive fiscal policy and a relatively low reliance on Russian gas have allowed France to weather recent crises relatively well, and the country is also less exposed than most to the consequences of the trade tensions with the US. However, recent shocks have left France with a stubbornly higher deficit and larger government debt, which – given its fractured politics – the country is struggling to grapple with, thereby heightening the uncertainty around domestic economic policy.

Market demand: 3.0/10

Market demand risk is low at 3.0, just below the Western Europe average. Over the medium term, France's relatively favourable demographic profile means it will achieve firmer rates of economic growth than those of most Western European economies. Although unemployment remains low from a historical perspective, the ongoing labour market downturn is a major risk to demand. Meanwhile, efforts to reduce the public deficit may impact demand through lower social spending or higher taxes.

Market cost: 2.0/10

The market cost risk is low at 2.0 and is below that of most of the Eurozone, but we see some upside risks. Since 2000, France's labour costs have been growing at a faster pace than those of its trading partners, weighing on competitiveness. But this trend has been halted by sluggish nominal wage growth, a consequence of spare capacity, and the recent inflationary shock, which has dragged down real wages. The labour market downturn also means that upward pressure on wages should remain contained. Still, labour in France will likely continue to be more expensive than in its trading partners, absent structural reforms to contain relative labour costs and reduce taxes on wages.

Exchange rate: 3.3/10

According to our methodology, FX risk remains somewhat low, in line with that of other Eurozone countries. The score reflects France's political stability and the credibility of EU and Eurozone institutions, notably the European Central Bank. But it still indicates some vulnerability related to the country's limited fiscal space to respond to a major external shock.

The euro exchange rate should remain broadly stable in the near and medium terms, following recent strengthening. We expect the ECB's policy rate to become slightly more euro-positive, but this shouldn't result in substantial depreciation, as it will be offset by higher equity investment. Europe's growth prospects remain weaker than those of the US, preventing more appreciation in the medium term.

Sovereign credit: 4.0/10

France's public debt currently exceeds 110% of GDP. We see little prospect of a reduction in the short term, with the deficit unlikely to fall below 2025's 5.1% of GDP this year. The unstable political situation means fiscal consolidation probably won't be on the scale required to lower debt. Nevertheless, the sovereign credit risk score is relatively low. Although bond spreads have risen due to political instability and despite a string of bad news about the health of public finances, we don't think debt sustainability is at risk in the short term. France's public debt has a long maturity of around eight years and a low effective interest rate, and the country benefits from the ECB's implicit backstop.

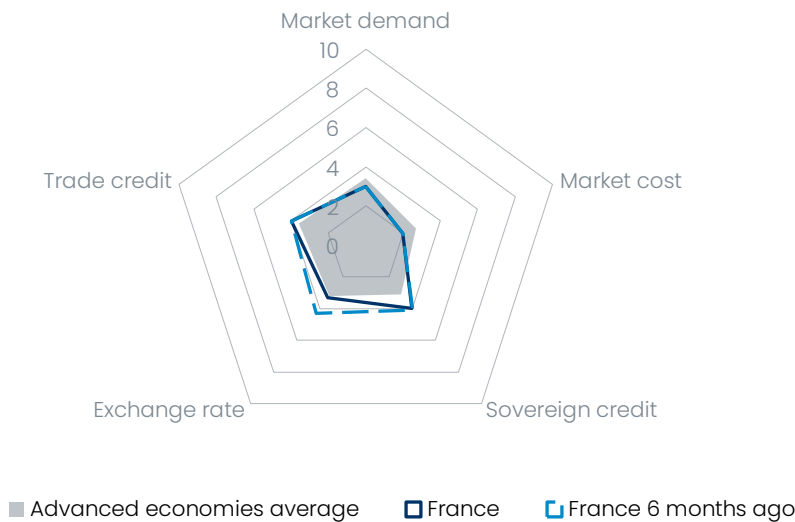
Trade credit: 4.0/10

We consider trade credit risk reasonable given still-resilient business conditions and a policy backdrop that remains broadly supportive of French corporates. Although bankruptcies have stabilised, they remain at a much higher level than before the pandemic after a temporary dip in 2020–2021, signalling a more fragile environment.

Profit margins have stabilised but are still under pressure, while the extension of temporary tax surcharges on large companies and delayed cuts to production taxes add to risks for corporate profitability.

Chart 10: France scores comparatively poorly on sovereign credit risk

Economic risk: France vs Advanced economies average



Source: Oxford Economics

* Risk scores are from 1 to 10, with 10 representing the highest risk. For our full country risk service, see [Economic and Political Risk Dashboard](#). Sovereign credit risk comes from our sovereign risk tool and foreign exchange risk comes from our FX tool.